

getting financial planning advice; how much is that? Are your tax returns prepared; how much is that?

Advisors generally charge a fee based on a percentage of the account's value. The fee can range from reasonable to expensive. Make sure you are not paying too much to have your portfolio managed. There is nothing to gain from paying a lot of money for investment management services when those services are available elsewhere for far less. My company, Portfolio Solutions, LLC, charges 0.25 percent of assets subject to a minimum quarterly household fee. This is a fair fee for investment management services.

CHAPTER SUMMARY

Low investment fees and tax control play an important role in the success of an investment plan. The more you pay in fees and taxes, the lower your long-term investment performance. How you allocate your investments across different accounts goes a long way toward keeping taxes low. In addition, swapping out of losing funds and harvesting losses can increase your after-tax return.

The heart of a successful asset allocation strategy relies on the investor's confidence that a multi-asset-class, low-cost approach to portfolio management is right for him or her. With confidence comes a commitment to maintaining an asset allocation during all market conditions. A properly designed portfolio of low-cost investments that is within an investor's tolerance for risk will help ensure that the plan is followed in good times and bad.

All About Asset Allocation has covered a lot of ground. The tools and strategies discussed in this book provide a no-nonsense, businesslike approach to managing your portfolio effectively. Learn the principles of asset allocation, design an investment plan that fits your needs, implement and maintain that plan, and keep your costs low. You will be further ahead in the future for doing so.